



ECONOMICS IN 60 SECONDS

Issue #007

Externalities

The most important costs never appear on the bill. Someone, somewhere, still pays them.



TIMELESS IDEAS. EVERYDAY IMPACT.

A BARGAIN WITH A CATCH

The factory sells cheap. The town pays the difference.

A plant makes goods at a low price, and its smoke drifts over the houses next door. The customer enjoys the bargain. The neighbour breathes the cost. Both are part of the deal. Only one of them agreed to it.



COSTS THAT LAND ON STRANGERS

Your choice, someone else's burden

Pollution

Cheap to emit. The whole street breathes the bill.

Traffic

Your car saves you time, and costs everyone behind you theirs.

Plastic

One convenient bag, centuries in someone's ocean.

Noise

One loud night, an entire building kept awake.

None of these costs show up at the till. All of them are paid.

IT RUNS THE OTHER WAY TOO

Some choices quietly enrich everyone

A vaccine

You protect yourself, and everyone you never infect.

An education

One mind sharpens, a whole society grows wiser.

A planted tree

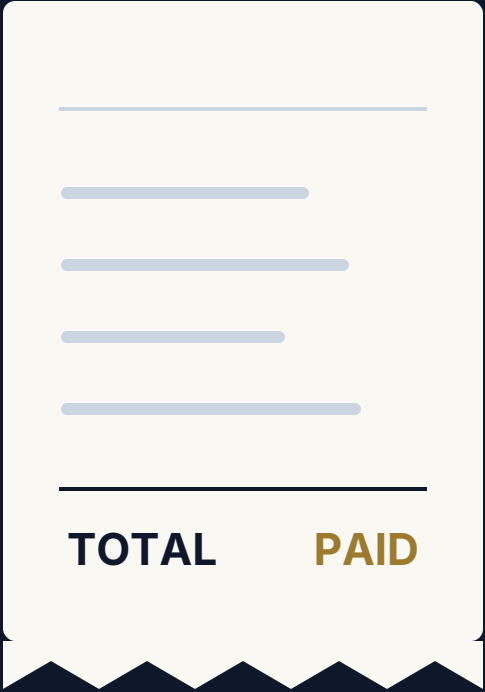
One garden, cleaner air and shade for the street.

Research

One discovery, and the whole world builds on it.

The buyer pays for a private good. Society pockets the spillover, free.

Not every cost appears on the receipt.



THE BUYER
pays, and knows it



EVERYONE ELSE
pays, and never sees a bill

SPILLOVERS, GOOD AND BAD

Once you see them,
they are everywhere

Congestion

One more car, everyone's slower.

Antibiotics

Overuse now, resistance for all later.

Landfill

Out of your bin, into a shared earth.

Public transport

Your ride clears the road for others.

Green energy

One rooftop, cleaner air for all.

Public health

One clinic lifts a whole community.

Grey drains value from the crowd. Gold quietly hands it back.

MAKE THE BILL LAND WHERE IT BELONGS

Send the cost back to its source

Tax the harm

Put a price on pollution, so the polluter feels the real cost. Pigou's idea.

Reward the good

Subsidise vaccines, transit, and study, so we get more of their spillover.

Assign the rights

Give a clear owner, and the two sides can bargain it out. Coase's insight.

Set the limits

Caps and standards, where a price alone will not do.

Each does one thing: close the gap between private cost and social cost.

Externalities are not just about smoke. They are the difference between a market that tells the truth and one that hides the bill.

When every cost and benefit is counted, prices guide us beautifully. When they spill out of sight, the market quietly misfires, too much of what harms us, too little of what helps. Price the spillover, and the market starts telling the truth again.



What hidden cost, or hidden benefit, do you think society overlooks the most?

Name it below. The sharpest answer shapes a future issue.



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The Bill Someone Else Pays

ONE IDEA. BETTER DECISIONS.

Next issue, #008 · Marginal Thinking

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